

THE BUZZ

CORPORATE

Ambuja Checks into Orient

The Adani Group-owned company has made five buyouts in less than two years and is hungry for more

BY KRISHNA GOPALAN

► **IN SEPTEMBER 2022**, the Adani Group entered the cement sector by acquiring Ambuja Cements and ACC from Switzerland's Holcim for \$10.5 billion. The deal brought in capacity of 68 million tonnes per annum (mtpa) for the Adani Group and since then, it has been very aggressive on the inorganic front, lapping up five assets, with the most recent being Orient Cement for ₹8,100 crore.

Announcing the deal, Karan Adani, Director of Ambuja Cements, said the company's capacity has increased by around 30 mtpa within two years of the Ambuja-ACC deal. "Now, Ambuja is poised to reach 100 mtpa cement capacity by FY25." The deal involves picking up a 47% stake to be followed by a mandatory 26% open offer. A large chunk of Orient's operations is housed in the South, a region known for a multitude of players and lower capacity utilisation.

Of the total installed national capacity of around 626 mtpa, according to an ICRA report,



A SOLID STEP Ambuja Cements and its subsidiaries have a capacity of 88.9 mtpa, making it the second-largest after the Aditya Birla Group's UltraTech Cement at 155 mtpa